

Strategy to Solve the Model

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Strategy to solve the model

1. Determine market tightness x
2. From x , compute the values of all other variables.

1. Price $p = p^m(x)$

2. Money $m = \mu$

3. Output $y = y^d(x, p)$
so $y = y^d(x, p^m(x))$

4. consumption $c = \frac{y}{1 + \tau(x)}$
 $c = \frac{y^d(x, p^m(x))}{1 + \tau(x)}$

5. visits $v = y / q(x)$
so $v = \frac{y^d(x, p^m(x))}{q(x)}$